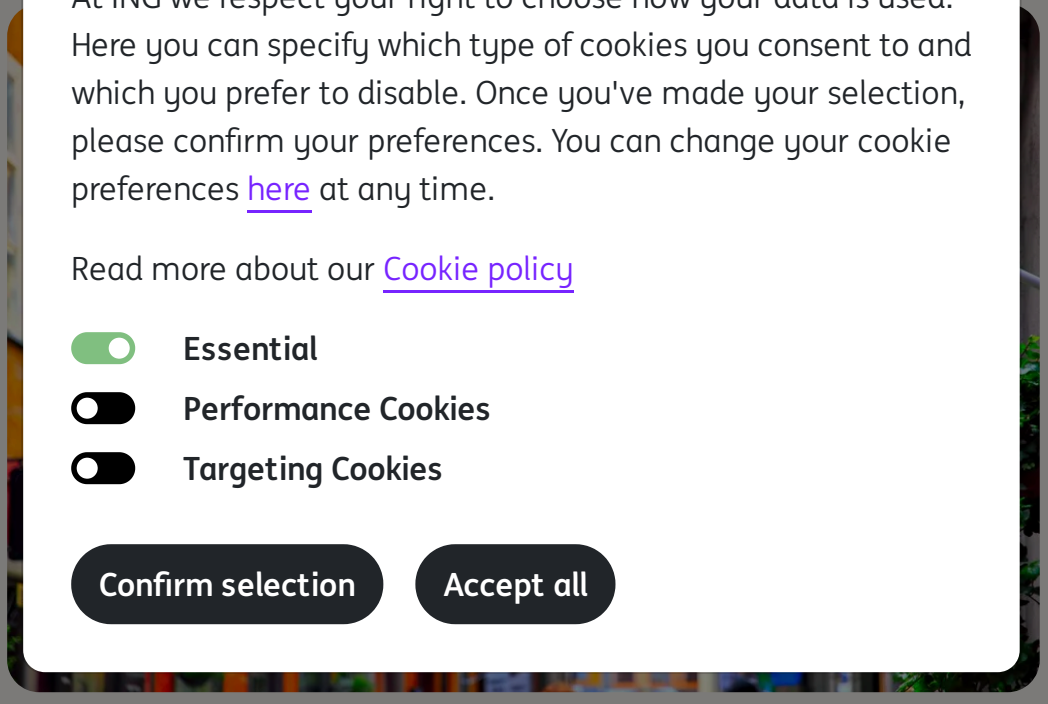
We expect a 25bp hike on 4 November by the Riksbank, alongside a reiteration of the tightening bias. Inflation was softer than expected in September, but upside risks remain for prices, and a resilient economy allows policymakers to tighten pre-emptively. We have revised our EUR/SEK year-end target to 11.00 after the recent rally



We expect two rate hikes in Sweden in the next few months

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The Riksbank announces policy on 4 November, and we are sticking to our call for a 25bp rate hike to 2.0%. Market bets on a rate increase next week have dwindled in the past week or so, moving from 22-24bp to 15-18bp. While we don't see a single clear trigger for this partial dovish rethink, a soft inflation print in September and SEK appreciation may have both played a role.

However, both in-meeting and off-meeting commentary by Riksbank officials have been endorsing a move at this November

meeting, and the rise in energy prices offsets the dovish inflation and currency market inputs, in our view.

Don't expect an explicit commitment to further increases, but the tightening bias should remain in place. Our call remains that the Riksbank will skip December and hike again to 2.25% on 3 February. We don't currently expect any further rate increases beyond that, but the risks are clearly on the hawkish side given the persistence of energy price inflation.

Muted inflation in September, but goods prices are picking up

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in core measures, with CPIF excluding energy set to pass 2.0% by the summer.

Growth proved resilient again in 3Q, with GDP rising 0.4% quarter-on-quarter and 2.8% YoY.

Higher energy prices to tilt the balance towards November

These inflation projections are only facing upside risks the longer energy prices remain elevated. Alongside them, the Riksbank

signalled a split probability rates would be raised at either the November or December meeting.

While the September inflation print and stronger krona (which we address below as a topic) may argue for a pause, the rise in energy prices is a bigger deciding factor in our view, and should tilt the balance towards a rate hike already next week. In September, the Brent crude price projection for end-2026 was $92/bbl, against the current price of $118. European gas prices have also increased c.35% since the September meeting. New projections are only published in December, but we think the Riksbank will have to acknowledge that higher energy prices increase the risk of more p

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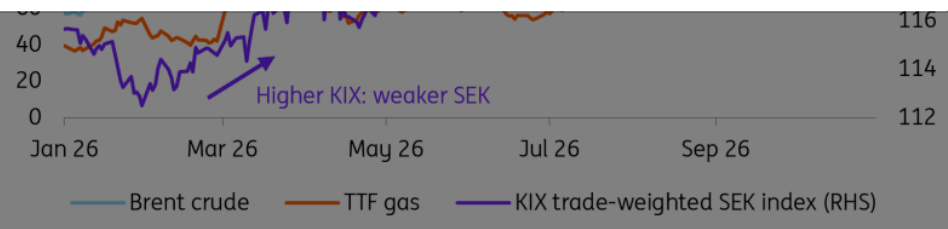
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Source: ING, Riksbank, Refinitiv

Riksbank shouldn't underestimate SEK fragility if it holds

There's no denying that the hawkish shift in September was partly due to the Swedish krona's weakness. Since that last policy meeting, the krona has appreciated c.1.4% on a trade-weighted basis, driven by a drop in EUR/SEK. That, in turn, has been a consequence of a tightening in two-year swap rate differentials of around 20bp, mirroring a stable outlook for Riksbank tightening while ECB expectations were revised lower on the back of French-related risk.

EUR/SEK was also trading 1-2% above our short-term fair value estimates at the end of September. The subsequent rise in euro idiosyncratic risk has pushed the pair into a modest 0.5-1%

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the past couple of months. The build-up of substantial EUR-specific risk makes a lower target an obvious adjustment. Markets are also not fully pricing a Riksbank hike next week, with 17bp priced at the time of writing, nor a February follow-up move, with 40bp priced, which remains our baseline.

Still, EUR/SEK looks a bit too weak relative to fundamentals. That points to a lingering risk premium and leaves room for upside if some France-related risk abates into year-end (our baseline). At the same time, the external backdrop remains challenging for SEK, with oil prices still very elevated.

We are revising our year-end EUR/SEK target to 11.00, close to current spot. Over the next week, however, we could see further downside exploration, with a potential break below 10.90, as a Riksbank hike may combine with some US-related risk around the midterms to support SEK, both through the rates channel and potential capital repatriation flows.

In the longer run, we still expect a gradual decline to 10.70 over the course of next year.

SEK Riksbank FX

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